

The next section won't apply to all readers but can be valuable if you are in a position to take advantage. It also demonstrates examples of what is possible for those who think differently.

457(b) Accounts

Some state or local government employees have access to 457(b) accounts. These accounts are available to school teachers, police officers, firefighters, and other civil servants. They function similarly to 401(k) or 403(b) accounts, allowing a worker to defer taxation on earnings. They also have two distinct advantages. Contributions can be made to both a 457(b) account and other work-sponsored accounts in the same year, allowing a worker to double their tax-deferred contribution for that year. The other great advantage to a 457(b) account is that unlike most other retirement accounts, money can be taken from a 457(b) account before age fifty-nine and a half without paying a penalty. This creates more flexibility once you reach FI.

Gerry Born, who writes the blog *Millionaire Educator*, is a public school teacher, as is his wife. They utilized these accounts to all but eliminate income taxes while saving toward FI. Doing so gave them each access to multiple retirement accounts to defer income,